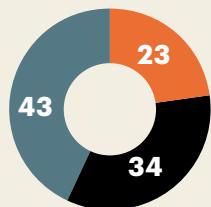


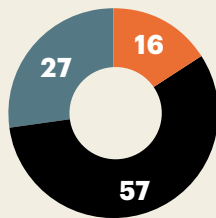
MOOD OF INDIA INC (%)

Do you expect consumption demand to improve with the 50 basis point rate cut by the RBI in the June policy review (total 100 basis point rate cut in 2025)?



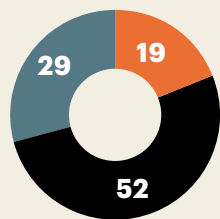
● YES ● NO ● CAN'T SAY

Are you planning any capital investments this fiscal following the repo rate cuts by the RBI?



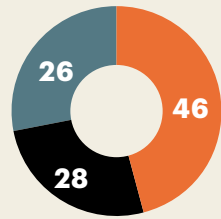
● YES ● NO ● NOT DECIDED

Will your company be impacted by higher tariffs imposed by the US?



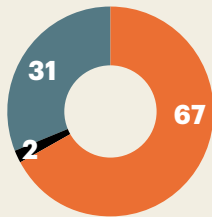
● YES ● NO ● CAN'T SAY

Do you expect stronger consumer demand due to the recent income tax rejig and the ongoing monsoon?



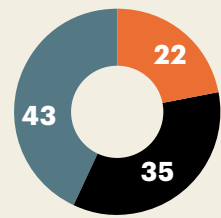
● YES ● NO ● UNSURE

How will the signing of the India-UK trade pact, and the US deal, impact your business?



● IN A POSITIVE WAY ● IN A NEGATIVE WAY ● CAN'T SAY

Do you plan to use the government's Employment Linked Incentive scheme to hire more workers?



● YES ● NO ● TOO EARLY TO SAY

early monsoon with forecast of above average rains also lifted the mood.

As per the survey, businesses across sizes and sectors were more confident overall than in the last quarter of FY25. While heavy engineering and services sectors showed a reading above 50, light industries remained in

the red with a score of 49.7.

Similarly, big and medium industries were more confident about their prospects with business confidence scores of 51.8 and 50.6, respectively. In contrast, small and micro businesses remained anxious with readings of 49.9 and 48.5, respectively.

GROWTH PANGS

Firms are keeping their fingers crossed on economic prospects. The survey revealed that their confidence in the overall economic situation going forward was higher at 5.1 out of 10 for the September quarter, as against 4.9 in the last survey (for the June quarter). They were also more bullish on demand with a reading of 5.4 for the current quarter versus 4.8 in the previous quarter. The sentiment on profits in the second quarter was also up with a score of 5, but the outlook on hiring conditions was still muted at 4.7 versus 4.5 in the previous quarter.

"The economy is facing both headwinds and tailwinds," says Devendra Kumar Pant, Chief Economist and Head Public Finance, India Ratings and Research, citing major tailwinds as monetary easing, faster-than-expected decline in inflation, and likely above-normal rainfall this year. Major headwinds are uncertain global scenario due to hike in tariffs by the US on all countries and a weaker-than-expected investment climate. In its mid-year economic outlook, the agency cut its India GDP forecast for FY26 by 30 basis points to 6.3%.

Ranen Banerjee, Partner and Economic Advisory Leader at professional services firm PwC India, says the first quarter of FY26 witnessed an uptick in both rural and urban demand, which was supported by income tax cuts and good rains. "This led to an improvement in business confidence," he says, but cautions that companies remain on a wait-and-watch mode to confirm whether this demand will sustain. "This is because of concerns around external sector developments, primarily geopolitical tensions and trade-related uncertainties. All this is making firms nervous about a sustained recovery in consumer demand," he says.

Ratings agency ICRA has also lowered its growth forecast for FY26 following Trump's tariff announcements. Aditi Nayar, Chief Economist and Head of Research & Outreach at ICRA, explains that when the US had initially imposed tariffs, the agency had lowered its India GDP growth forecast to 6.2%, presuming a tepid rise in exports and a delay in revival of private sector capital expenditure.

The tariff and penalty now proposed by the US is higher than what was anticipated, and is therefore like-